

Best's Credit Rating Effective Date

September 05, 2025

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

Aflac Incorporated

AMB #: 058003 | **FEIN #:** 58-1167100

Ultimate Parent: AMB # 058003 - Aflac Incorporated

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A+
Superior
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

aa
Superior
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Strongest
Operating Performance	Strong
Business Profile	Favorable
Enterprise Risk Management	Very Strong

Rating Unit - Members

Rating Unit: Aflac Incorporated | **AMB #:** 058003

AMB # **Rating Unit Members**
095857 Aflac Life Ins Japan Ltd.
006063 Amer Fam Life Assur Co of NY

AMB # **Rating Unit Members**
006051 Amer Fam Life Assur Columbus
007411 Continental American Ins Co

Best's Credit Rating - for the Holding Company

Issuer Credit Rating (ICR)

a	Outlook: Stable
Excellent	Action: Affirmed

Rating Rationale - for the Rating Unit Members

The Issuer Credit Ratings and Financial Strength Ratings of the member operating companies of the rating unit are determined in accordance with Best's building block rating methodology as applied to the consolidated group's financial statements, and the supporting analytics and results are described in the following sections of this report.

Balance Sheet Strength: **Strongest**

- Historically, risk-adjusted capitalization has consistently been maintained at the strongest categorization, as measured by Best's Capital Adequacy Ratio (BCAR) model. Shareholders' equity increased in the second quarter of 2025 following improvement in unrealized foreign currency translation loss over the previous year-ended.
- The group's product reserves are more than adequate and remain sufficient under numerous scenarios.
- The organization's invested assets are diverse across asset classes and types, and they are managed both internally and through highly respected external asset managers. The portfolio has undergone continued de-risking and trade activity. However, the group has continued to report an increase in commercial mortgage transition real estate delinquencies and resulting increase in group real estate owned. Moreover, AM Best acknowledges that the mortgage and real estate portfolio consists of a small but material portion of Aflac's invested assets.
- In addition to the external reinsurance, the organization is increasing its use of internal reinsurance through the use of Aflac Re Bermuda Ltd. (Aflac Re), a Bermuda reinsurer. Aflac Re is utilized to reinsure a portion of long-term liabilities from Aflac Life Insurance Japan (Aflac Japan).
- Foreign exchange risk has been a challenge but has been mitigated through hedging programs and more recently benefited from a weakening of the Japanese yen.

Operating Performance: **Strong**

- The group's strong operating performance reflects its consistently profitable results driven by strong underwriting and investment results. Aflac Japan is the principal contributor to the consolidated earnings and over half of adjusted revenue through 2025.
- From a historical perspective, Aflac's operating performance has been strong and consistent, and net earnings before income taxes (EBIT) have consistently exceeded \$4 billion over the past few years and through year-end 2024. However, EBIT declined through the first half of 2025, driven by interest rate swap net losses and foreign currency rate impacts.
- Aflac's premiums have been trending downwards over the years due to sales and first sector limited pay policies reaching paid-up status in Japan; however, this trend started to reverse through the first half of 2025, driven by increasing sales in the U.S. as well as new cancer product sales in Japan.
- Net investment income reported continued growth primarily driven by higher income from U.S. dollar-denominated floating rate assets, offset by higher hedging costs.

Business Profile: **Favorable**

- Aflac enjoys strong brand recognition and is a market leader in both cancer and medical insurance in Japan and supplemental accident & health sales at the worksite in the U.S.
- Aflac is a prominent innovation leader in developing products and tools to address customer needs in services, claims payment efficiency and agent sales.
- It has expanded its product offerings and broadened market segments served over the past few years through its addition of dental, vision and pet insurance options via acquisitions and partnerships. In addition, it offers group life, disability and absence management products through the acquired U.S. corporate life and pensions business of Zurich North America.

Enterprise Risk Management: **Very Strong**

- Aflac's risk management program facilitates strategic risk assessment metrics with participation at all levels of the organization, an embedded global risk appetite statement and a framework supporting its risk tolerance statements.
- The organization has a well-developed risk management framework that is continuously reviewed and supported by a sound governance structure. Aflac utilizes extensive modeling and stress-testing techniques.
- Risk appetites and tolerances are well defined and integrated into risk monitoring and a robust reporting structure to keep its board of directors, senior management and other stakeholders fully engaged in the risk management process. Key risks to the organization are identified and monitored by the appropriate committee.

- Aflac has demonstrated a continuation of its very strong pandemic response allowing its operations to see continued strength at pre-pandemic levels.
- In addition to its three lines of defense risk model, the organization has adopted the National Institute of Standards and Technology (NIST) cyber-security framework for Aflac's global security program.

Outlook

- The stable outlooks reflect the strongest level of balance sheet strength assessment, supported by BCAR being maintained at the strongest level, a trend of favorable operating gains and the retention of its business and market position as a leader in worksite benefit offerings. The organization has a very strong and well-developed enterprise risk management program embedded in all areas of its business.

Rating Drivers

- Factors leading to negative rating action include a long-term trend of decline in premium in both the U.S. and Japanese markets, which can erode the level of earnings and potentially impact the market position.
- While unlikely, factors leading to positive rating action include material and sustained improvement in the group's balance sheet metrics.

Rating Rationale - for the Holding Company

The rating of the holding company is determined by reference to the Issuer Credit Rating (ICR) of the operating insurance company members. It reflects consideration of holding company sources and uses of cash, the competing demands placed upon holding company resources and normal subordination of holding company creditors to claims of the policyholders of the operating insurance companies. In general, therefore, the holding company's Issuer Credit Rating is notched from those assigned to the operating companies of the rating unit.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	85.0	78.0	76.0	75.0

Source: Best's Capital Adequacy Ratio Model - Global

Key Financial Indicators	2024 USD (000)	2023 USD (000)	2022 USD (000)	2021 USD (000)	2020 USD (000)
Net Premium Written:					
Life	13,771,000	14,237,000	14,943,000	17,137,000	18,075,000
Composite	13,771,000	14,237,000	14,943,000	17,137,000	18,075,000
Net Income	5,443,000	4,659,000	4,418,000	4,325,000	4,778,000
Total Assets	117,566,000	126,724,000	131,738,000	157,542,000	165,086,000
Total Capital and Surplus	26,098,000	21,985,000	20,140,000	33,253,000	33,559,000

Source: BestLink® - Best's Financial Suite

Key Financial Ratios (%)	2024 USD (000)	2023 USD (000)	2022 USD (000)	2021 USD (000)	2020 USD (000)	Weighted 5 Year Average
Profitability:						
Net Income Return on Revenue	28.8	24.9	23.1	19.6	21.6	23.4
Net Income Return on Capital and Surplus	22.6	22.1	16.6	13.0	15.3	17.5
Balance on Life Technical Account	6,514,000	5,280,000	4,875,000	5,387,000	4,244,000	...
Net Investment Yield	3.8	3.3	2.8	2.6	2.5	3.0
Leverage:						
Net Premium Written to Capital and Surplus	52.8	64.8	74.2	51.5	53.9	...

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Capitalization

The Aflac group's risk-adjusted capitalization is assessed at strongest as measured by Best's Capital Adequacy Ratio (BCAR), and the organization has maintained strong risk-based capital (RBC) levels and Japanese solvency margin ratios (SMR) over the minimum required. Risk-adjusted capitalization has been enhanced by its strong operating performance, which has more than offset realized investment losses and unrealized foreign currency losses in recent years. Equity at Aflac has continued to grow as strong earnings have been accretive to capital, a trend which continued through the first half of 2025. Aflac's GAAP equity increased over 4% through the first half of 2025.

The organization maintains risk-adjusted capitalization above the company's own internal targeted range. Capital strength has been supported through continued earnings and strong net operating cash flow over a number of years within its Japan and U.S. operating companies. The parent is committed to maintaining strong Aflac Japan SMR and Aflac U.S. RBC ratios. While the SMR is particularly sensitive to market volatility resulting from widening of credit spreads, both SMR and RBC are sensitive to credit downgrades and defaults. The organization can support SMR and RBC by reducing dividends paid to the parent by its insurance subsidiaries as well as from capital contributions to the insurance subsidiaries from the parent using cash on hand, proceeds from debt issuance or drawing on the revolving credit facilities. The parent has made capital contributions to its U.S. entities over the past five years, demonstrating its commitment to maintaining its target risk-based capital levels.

The group utilizes operating leverage in the form of securities lending as well Federal Home Loan Bank funding agreements. Aflac Columbus is a member of the Federal Home Loan Bank (FHLB) of Atlanta and as of June 30, 2025, the company borrowed and repaid \$331 million under the program. In addition, Aflac recently went to market for pre-capitalized trust securites (P-CAPS) via Wynnton Funding Trust for management of liquidity. Operating leverage was below 10% at year-end 2024.

The group enjoys financial flexibility from its publicly traded parent, which includes access to multiple lines of credit: \$100 million available on a 364-day credit facility and \$1 billion available on a five-year unsecured revolving credit facility, as well as JPY 100 billion available on a five-year unsecured credit facility and \$50 million available on a credit facility all with a consortium of banks. Additionally, Aflac has a number of intercompany credit agreements with its insurance entities. Aflac's flexibility has been enhanced further through its reinsurance subsidiary, Aflac Re Bermuda Ltd, which assumes a modest portion of older cancer policy liabilities from Aflac Japan. Aflac's financial leverage, as calculated by AM Best, was modest and was 22.3% at year-end 2024 and interest coverage is considered strong at more than 30 times.

Capital Generation Analysis	2024 USD (000)	2023 USD (000)	2022 USD (000)	2021 USD (000)	2020 USD (000)
Beginning Capital and Surplus	21,985,000	20,140,000	17,031,000	33,559,000	28,959,000
Net Income after Non-Controlling Interests	5,443,000	4,659,000	4,418,000	4,325,000	4,778,000
Unrealized Capital Gains (Losses)	-1,095,000	1,874,000	-10,171,000	-637,000	957,000
Currency Exchange Gains (Losses)	-929,000	-505,000	-1,579,000	-904,000	514,000
Change in Paid-In Capital	-2,713,000	-2,690,000	-2,277,000	-2,162,000	-1,412,000
Stockholder Dividends	1,159,000	1,033,000	1,014,000	928,000	1,029,000
Other Changes in Capital and Surplus	4,566,000	-460,000	13,732,000	...	792,000
Net Change in Capital and Surplus	4,113,000	1,845,000	3,109,000	-306,000	4,600,000
Ending Capital and Surplus	26,098,000	21,985,000	20,140,000	33,253,000	33,559,000
Net Change in Capital and Surplus (%)	18.7	9.2	18.3	-0.9	15.9

Source: BestLink® - Best's Financial Suite

Liquidity Analysis	2024 USD (000)	2023 USD (000)	2022 USD (000)	2021 USD (000)	2020 USD (000)
Net Operating Cash Flow	2,707,000	3,190,000	3,879,000	5,051,000	5,958,000
Liquid Assets to Total Liabilities (%)	98.2	93.4	90.8	103.9	104.9

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Asset Liability Management - Investments

The organization's invested assets are diverse across asset classes and types, and managed both internally, through Aflac Asset Manager, LLC and Aflac Asset Management Japan, Ltd., and through highly respected external asset managers. The managers continue to de-risk the investment portfolio, which has resulted in a higher allocation to quality fixed-income assets that have favorably impacted the organization's risk-adjusted capitalization.

The group's investment portfolio has continued to experience an increase in commercial transitional real estate delinquencies over the past few years, which has resulted in an uptick in company-owned real estate. AM Best acknowledges that the mortgage and real estate portfolio comprise a small but material portion of Aflac's invested assets.

The organization's investment team continues to manage the challenges of foreign exchange risk effectively. Aflac uses derivative contracts to hedge foreign currency exchange rate risk and interest rate risk. These hedges are designed to reduce economic risks and protect this risk from greatly impacting the financial statements. Given its size of the Japan operations, the company seeks to maintain a diversified yen-denominated investment portfolio, therefore its hedge program for the foreign exchange rate risk strategy includes Aflac Japan hedging U.S. dollar-denominated investments back to yen. There is also the maintenance of certain unhedged U.S. dollar-denominated securities serving as an economic currency hedge as a portion of the investments in Aflac Japan. The parent company designates yen-denominated liabilities as non-derivative hedging instruments and designates certain foreign currency forwards and options as derivative hedges of the net investment in Aflac Japan. Additionally, the parent enters into forward and option contracts to achieve a dual objective of hedging foreign currency exchange rate risk related to dividend payments by its subsidiary, Aflac Life Insurance Japan Ltd. (ALIJ), and also to reduce its enterprise-wide hedging costs.

Investment income is generally impacted by the yen-dollar exchange rate as a large portion of assets are exposed to currency risk. There is some concentration risk associated with the Aflac Japan's allocation to Japan Government Bonds (JGB). The JGB bonds represent approximately one-half of its investment portfolio, however, the Japanese regulators require these investments. Aflac's diversification of revenue streams has served the company well through the period of low interest rates.

Aflac has ample liquidity supported by favorable positive operating cash flow, high-quality investments and a stable liability structure. The company remains committed to prudent liquidity and capital management and demonstrated its ability to take a tactical approach to capital allocation during market fluctuations. The organization has continued its stock repurchase program and payment of shareholder dividend. Any future activity will depend on the company's operating performance and market conditions.

Composition of Cash and Invested Assets	2024 USD (000)	2023 USD (000)	2022 USD (000)	2021 USD (000)	2020 USD (000)
Total Cash and Invested Assets	105,087,000	113,560,000	117,397,000	142,978,000	149,753,000
Composition Percentages (%):					
Unaffiliated:					
Cash and Short Term Investments	7.5	4.9	4.7	4.7	4.2
Bonds	77.3	80.2	80.8	84.4	87.0
Stocks	0.8	1.0	0.9	1.1	0.9
Real Estate, Mortgages and Loans	2.3	1.9	1.7	1.5	1.3
Other Invested Assets	12.2	12.0	12.0	8.2	6.6
Total Unaffiliated Cash and Invested Assets	100.0	100.0	100.0	100.0	100.0
Total Cash and Invested Assets	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Holding Company Assessment

Aflac Incorporated was incorporated in 1973 under the laws of the state of Georgia. Aflac Incorporated is a general business holding company and acts as a management company, overseeing the operations of its subsidiaries by providing management services and making capital available. Aflac is the leading provider of both medical and cancer insurance in Japan and supplemental sales at the worksite in the U.S. The company has been a leader in product innovation and customer service, working towards claims payment efficiency.

Balance Sheet Strength (Continued...)

Aflac Incorporated Group includes American Family Life Assurance Company of Columbus (Aflac Columbus), American Family Life Assurance Company of New York (Aflac New York) and Continental American Insurance Company (CAIC), representing the U.S. operations, and Aflac Life Insurance Japan Ltd. (Aflac Japan) representing operations in Japan. These companies are subsidiaries of Aflac Incorporated. The insurance companies in the group operate in Japan and the U.S. markets. Each market has distinctive characteristics including culture, economy, government/regulatory, distribution and competition.

Aflac Japan is the principal contributor to the parent company's consolidated earnings and accounts for the majority of the insurance operations. Aflac established Aflac Life Insurance Japan Ltd. (Aflac Japan) in 2018, converting its existing branch operations into a full insurance subsidiary of Aflac, Inc. and was incorporated as a Japanese stock corporation. The organization has operated in Japan since 1974 and is the country's leading supplemental health insurer, with the largest share of the cancer insurance market. As an early entrant into Japan's supplemental health care market, Aflac developed and cultivated a substantial niche market position. Of the companies listed on the Tokyo Stock Exchange, over nine-tenths presently offer Aflac products to their employees.

Aflac Japan has maintained an alliance with Dai-ichi Mutual Life Insurance Company, Japan's second-largest life insurer, since 2001. Through this partnership, Dai-ichi distributes Aflac Japan cancer products. Aflac is also selling cancer insurance products in the SME (Small and Medium-Sized Enterprises) association market through Daido Life. Dai-ichi has a reach of 37,000 Life representatives to offer Aflac's cancer products. The combination of Aflac's leading cancer life policy and Dai-ichi Life's extensive distribution network has produced a successful marketing alliance.

Aflac has a long-standing relationship with the Japan Post Group, the largest nationwide distribution network in Japan. Japan Post sells Aflac's cancer insurance products through Japan Post Co. & Japan Post Insurance (JPI). Japan post has approximately 20,000 post offices, 76 directly managed branches of JPI & more than 600 JPI service departments for individual sales.

In response to difficult economic conditions, the Japanese government deregulated the nation's financial services industry a number of years ago. A number of new entrants (Japanese and non-Japanese) entered the insurance market, which has intensified competition and presented new challenges for Aflac Japan. Earlier regulations had precluded most Japanese insurers from operating in the Third Sector of the insurance market, which includes the guaranteed-renewable health and accident lines not written in the First and Second Sectors (life and property/casualty, respectively). Aflac Japan responded to these changes and reinforced its position by actively broadening its range of products offered. The current portfolio of products includes: full and basic cancer life; living benefit life (providing lump-sum benefits upon cancer, stroke, or heart attack); guaranteed-renewable medical; benefits; supplemental disability benefits; ordinary life; annuities; and a variety of riders. Agents maintain close contact with policyholders by regularly offering riders to improve benefits under existing policies. In an effort to address its evolving competition, Aflac advertises extensively on television in Japan to reinforce Aflac's current and clear image as financially sound. The deregulatory process eliminated barriers among the three sectors, allowing Japanese and foreign insurers to have the ability to compete in any sector. However, companies that have historically focused on the First and Second Sectors have been accustomed to writing policies with larger premiums, which include a larger expense provision. The expense structures of these companies are not able to support the lower premium policies of the Third Sector. For this reason, many of the domestic Japanese companies that had entered the Third Sector have pulled back. This was also a factor in the decision by Dai-ichi Mutual Life Insurance Company to sell Aflac products to its customers and employees rather than develop and administer its own Third Sector products.

The U.S. business is a smaller portion of Aflac's business, however the importance to its corporate growth through this market has been in its buy versus build strategy over the past few years. In November 2019, Aflac acquired Argus Holdings, LLC and its subsidiary Argus Dental & Vision, Inc. (Argus), a benefits management organization and national network dental and vision company, which provides a platform for Aflac Dental and Vision. Argus is an addition to the Aflac U.S. segment and supports the company's strategy of growth through product diversification.

In 2020, Aflac acquired a non-controlling minority interest in Varagon Capital Partners and made a multi-year commitment to build a portfolio of middle market loans. Varagon is an extension of Aflac's external manager program. In March 2020, Aflac, through its insurance subsidiaries Aflac Columbus and Aflac New York, entered into an agreement to acquire Zurich North America's U.S. Corporate Life and Pensions business consisting of group life, disability and absence management products. Aflac Columbus and Aflac New York reinsures, on an indemnity basis, Zurich North America's U.S. in-force group life and disability policies. Aflac also acquired the assets needed to support the group life and disability business, along with an absence management platform. The transaction closed in 2020 and has since been integrated into its group operations.

Aflac announced its distribution alliance and investment in Trupanion, Inc., a leader in pet medical insurance in 2020. This added worksite options for customers interested in coverage for their cat or dog. Aflac provides the access to its agents, broker and direct to

Balance Sheet Strength (Continued...)

consumer platform distribution and will assist in worksite product design, marketing and enrollment support and Trupanion add its marketing, underwriting and policy administration, which includes policy support. The company also entered into an alliance agreement with Trupanion, Inc. to sell pet insurance in worksites in the US, subject to certain exceptions, and to explore on an exclusive basis potential.

Much of the company's future development plans include its contributions from its innovative arm of the organization, which is done through Aflac Global Ventures, LLC, which provides venture capital to new business start-ups, Venture programs supporting its U.S., Japan and global markets, and seed money for incubating new business solution ideas.

Aflac Inc. has ample liquidity which includes dividends and management fees from the operating subsidiaries. Additionally, the organization has a number of lines of credit available including a \$1.0 billion multi-year syndicated revolving credit facility as well as a ¥100 billion multi-year syndicated revolving credit facility, neither of which had outstanding balances as of June 30, 2025. The Co-Borrowers on the \$1.0 billion revolving credit facility include Aflac Inc. and Aflac Columbus. Aflac Inc. is the Borrower on the ¥100 billion revolving credit facility, and this facility is in place for Aflac Japan capital support purposes. Furthermore, Aflac Inc. has access to capital markets and remains proactive in funding its maturities as they come due.

Historically, the parent has issued debt through U.S. senior notes and yen-denominated loans. The parent company has maintained a ratio of total debt to total capital in the 25-30% range, which is within AM Best tolerances. AM Best notes that Aflac Inc's current adjusted financial leverage and operating leverage remain relatively modest for its rating level.

Aflac Inc.'s has active share repurchase program and shareholder dividend program. The company repurchased \$1.7 billion in the first half of 2025. As of June 30, 2025 share repurchase program is flexible and can be adjusted as needed to meet capital deployment and financial leverage objectives and to bolster liquidity. Additionally, Aflac Inc. been steadily increasing the cash dividends per share the past few years. The company paid dividends of \$629 million in the first half of 2025, up 10.2% from the same period in 2024.

Financial Leverage Summary - Holding Company 058003 Aflac Incorporated

Financial Leverage Ratio (%)	22.30
Adjusted Financial Leverage Ratio (%)	21.40
Interest Coverage (x)	33.57

Holding Company Analytics	2024 USD (000)	2023 USD (000)	2022 USD (000)	2021 USD (000)	2020 USD (000)
Debt to Capital and Surplus (%)	28.7	33.5	37.0	23.9	23.5
Liquid Assets to Total Liabilities (%)	98.2	93.4	90.8	103.9	104.9
Interest Expense	197,000	195,000	226,000	238,000	242,000

Source: BestLink® - Best's Financial Suite

Corporate Overview

Aflac Incorporated (the Parent Company) was incorporated in 1973 under the laws of the state of Georgia. The Parent Company and its subsidiaries (collectively, the Company) provide financial protection to millions of policyholders and customers in Japan and the United States (U.S.). The Company's principal business is supplemental health and life insurance products with the goal to provide customers the best value in supplemental insurance products in Japan and the U.S. When a policyholder or insured gets sick or hurt, the Company pays cash benefits fairly and promptly for eligible claims. Throughout its 68-year history, the Company's supplemental insurance policies have given policyholders the opportunity to focus on recovery, not financial stress.

Operating Performance

Aflac Inc. has a history of strong earnings with net income exceeding \$4 billion annually. The company reports double digit return on equity, which was 22.6% at year-end 2024. In the first half of 2025, net earnings dropped to \$628 million from \$3.6 billion in the prior quarter ended, driven by a \$1.4 billion of net investment losses compared to investment gain of \$1.6 billion in 2024. Net investment losses in the first six months of 2025 were mainly driven by net losses from certain derivatives as well as impact of foreign currency gain and losses. Aflac's premiums have been trending downwards over the years due to sales and first sector limited pay policies

Operating Performance (Continued...)

reaching paid-up status in Japan; however, this trend started to reverse through the first half of 2025, driven by increasing sales in the U.S. as well as new cancer product sales in Japan.

Aflac continued strong operating margins in Japan and U.S. markets and return on equity remains very favorable. The earnings continue to be favorably impacted by lower benefits utilization in the U.S. segment partially offset by higher administrative expenses. While both of Aflac's operating segments historically have produced favorable results, the group continues to be challenged to reverse the trend of premium decline and grow new sales materially, due to the increasingly competitive market. The company continues to focus actively on client retention strategies, product enhancements and operational capabilities to meet evolving market demands and facilitate growth.

Aflac Japan is a significant contributor to the Aflac Group's consolidated earnings. Aflac Japan's revenues, including realized gains and losses on its investment portfolio, accounted for approximately 54% of the company's total revenues through the second quarter 2025. Financial results are on a GAAP basis, Aflac Japan is calculated into U.S. dollars from the Japanese yen.

Despite growing pressure on Aflac Japan's new business sales and net investment yields, the impact on its earnings has been moderate. Aflac Japan posted a contraction in net premium written with a decline through the second half of 2025. This mainly was due to limited pay products reaching paid-up status and ongoing transaction relating to their global reinsurance strategy, in which Aflac Japan cedes business to an affiliated company, Aflac Re. Despite continued pressure on Aflac Japan's premium revenue, the impact on its core profit has been moderate. Although the overall sales performance has not fully recovered to the pre-COVID levels, its new business showed positive momentum underpinned by various factors including sales recovery of Japan Post, an increase in the number of exclusive sales agents, and the introduction of new products.

Aflac's U.S. business results experienced earned premium increase due to buy-to-build business, specifically the absence and disability product in the second quarter 2025 compared to the prior year. Solid pretax earnings in the second quarter 2025 primarily driven by top line growth, with increases in benefit ratio largely being offset by improvements in the expense ratio. The pretax adjusted profit margin for the U.S. segment was slightly above 21%. That shows Aflac's ability to adapt to the operational challenges, however its long term plan around product growth through recently acquired strategic assets may take time to achieve the scale needed to lower the operating costs and add stability to the profit margins.

In 2025, AM Best expects the company's profit margin to remain favorable as it maintains its solid position in the Japan markets and looks towards its investments in its U.S. buy to build businesses to grow profitable premium.

Financial Performance Summary	2024 USD (000)	2023 USD (000)	2022 USD (000)	2021 USD (000)	2020 USD (000)
Pre-Tax Income	6,417,000	5,262,000	4,869,000	5,322,000	4,159,000
Net Income (after Non-Controlling Interests)	5,443,000	4,659,000	4,418,000	4,325,000	4,778,000

Source: BestLink® - Best's Financial Suite

Operating and Performance Ratios (%)	2024	2023	2022	2021	2020
Overall Performance:					
Return on Assets	4.5	3.6	3.1	2.7	3.0
Return on Capital and Surplus	22.6	22.1	16.6	13.0	15.3

Source: BestLink® - Best's Financial Suite

Business Profile

Aflac's favorable business profile is supported by its market-leading position in Japan and its strong market presence in the United States. Aflac has strong brand recognition in Japan and the United States. Aflac is a market leader in both cancer and medical insurance in Japan and refreshes its product offerings to remain competitive. In the United States, Aflac remains a leader in the supplemental medical insurance market, especially products sold at the worksite. Aflac has expanded its product offerings and broadened its segment served in the United States over the past few years to remain competitive and to position the company for future growth.

Aflac primarily offers supplemental health and life insurance, and consists of two major segments: Aflac Japan and Aflac US. Aflac's strategy for growth is to develop relevant supplemental insurance products, which are sold in Japan and the U.S. markets. The majority

Business Profile (Continued...)

of the business in terms of premium is generated from its Japan operations, through Aflac Life Insurance Japan Ltd, a wholly owned subsidiary of Aflac Holdings LLC, which in turn is a subsidiary of Aflac Incorporated.

Aflac Japan's main office is in Tokyo, but the company also has field offices throughout Japan that provide customer services and support roles. The early success of Aflac Japan was mainly built on corporate agencies owned by employers that sell by payroll deduction to their employees. Many agency managers were retired executives who now manage sales to employees of their former firms. That brought considerable access to prospective clients and a close familiarity with their employers, resulting in sales opportunities and exceptional persistency, which are major factors in consistently strong operating results. Through the years, the number of individual and independent corporate agents comprising Aflac's traditional sales force has increased significantly. In recent years, traditional sales channels generated more than half of Aflac Japan's total new annualized premiums. The core distribution is comprised of over 6,000 agencies and 114,000 licensed sales associates employed by those agencies.

Aflac Japan has alliance with Dai-ichi Life with approximately 37,000 Dai-ichi Life representatives offer Aflac's cancer products and included in affiliated corporate agencies distribution channel. In addition, Aflac Japan and Daido Life Insurance has an agreement for Daido to sell Aflac Japan's cancer insurance products specifically to the Hojinkai market, which is an association of small businesses.

In 2007, the Japanese bank channel was opened for over-the-counter sales of Aflac cancer and medical insurance products. The bank channel has become an integral distribution channel for Aflac products with increasing contributions in recent years. Aflac's cancer products are represented at approximately 360 banks in Japan representing approximately 90% of the total banks in the country and has approximately 5% of new annualized premium sales are generated through these relationships.

Aflac Japan is the only provider of cancer insurance through the Japan Post Insurance Co. (JPI), the largest nationwide distribution network in Japan. Aflac Japan enhanced its long-standing distribution partnership with Japan Post Holdings Co., Ltd., and aligned financial interests through the purchase of approximately 7% of Aflac Incorporated's outstanding common shares through a trust. The Japan Post operates more than 20,000 postal outlets across Japan.

In 2019, Aflac's sales of cancer insurance products materially declined due to the halting of JPI insurance products through Japan Post sales channels. Aflac's cancer products were not in the scope of JPI's investigation into the improper sales practices; however in 2020, the Special Investigative Committee announced the final report regarding the eight-month investigation on the sales practices for Japan Post products and JPI announced that the investigations of all insurance policies were completed in 2020. The business suspension orders, or the Japan Post's decision to refrain from making proactive sales of Japan Post products lasted for a three month period, which was followed by an announcement on September 11, 2020, that JPI would resume selling Aflac cancer products. The re-start of marketing and selling of cancer products through the Japan Post commenced April 1, 2021. The anticipated growth of sales back to pre-pandemic levels are expected to gradually return over time as Japan Post adds insurance agents following proper training to ensure stronger compliance measures are followed.

Aflac added a cancer rider in 2020, launched a refreshed EVER Prime product and new nursing care medical product in the Japan market in addition to its restart of cancer product sales through Japan Post in 2021.

In 2023, Aflac Japan added to its products and services by launching Aflac Yorisou Cancer Consultation Support, a new service that provides comprehensive support from the moment a policyholder suspects cancer through treatment and recovery. In September 2023, the company further strengthen its product with a new medical insurance product designed to appeal to younger policyholders. Furthermore Tsumitasu was introduced in June 2024 and it is an insurance product designed primarily for post-retirement preparation, with coverage for nursing care and other benefits.

Aflac's U.S. operation's insurance products provide benefits that are intended to cover out-of-pocket expenses and are guaranteed-renewable. The primary U.S. entities are American Family Life Assurance Company of Columbus (Aflac Columbus), operating in conjunction with its wholly-owned subsidiary, American Family Life Assurance Company of New York (Aflac New York), which distributes Aflac products primarily in New York. Continental American Insurance Company (CAIC) operates as a sister company to Aflac Columbus and Aflac New York. CAIC is branded as a member of the Aflac Group. Aflac U.S. operation's strategic focus includes expanding its distribution channels, developing its portfolio of individual guaranteed-renewable health insurance products, and utilizing technology to improve customer service and cost efficiency. In recent years, Aflac has made considerable investments in its buy-to-build strategic acquisitions strategy in the dental, vision, group life and group disability product markets to grow its revenue. The Argus acquisition of its network dental and vision business is directed at growing this diversified product offering. Through its insurance subsidiaries Aflac Columbus and Aflac New York, the Zurich group life, disability and absence management products will add product diversification as well. Additional assets were acquired to support the group life and disability business, along with an absence management platform

Business Profile (Continued...)

that is now fully operational. The company expects this group of products to favorably contribute its U.S. growth strategy to add scale to the business operations and reduce its overall cost structure.

Aflac's U.S. operations is the leader in sales by payroll deduction to employer groups in the United States. Aflac first offered cancer insurance in the United States in 1958. It continues to expand its portfolio of fixed-benefit, guaranteed-renewable health and accident indemnity coverages in this market. These products have been relatively less sensitive to state and federal initiatives of health care reform.

The product portfolio includes a variety of non-participating plans, including: individual and group accident and disability; specified health event; cancer; short-term disability; hospital confinement indemnity; life; fixed-benefit dental and vision. This continuing diversification has reduced the company's reliance on its original cancer product, which now provides a declining percentage of new U.S. sales. Due to the success of the company's diversification strategy, its accident/disability at year-end was the largest product in terms of annualized premiums in force for the past few years. Still, cancer insurance products comprise a significant portion of Aflac's U.S. annualized premiums in force. Aflac is expanding into true group life and disability markets to deepen account penetration and increase the broker distribution network. More recently, offering cash versus conventions, offering lower interest loans (short-term financial assistance) and virtual training has been used by Aflac as a stimulus for the distribution force. While advertising in Aflac's Japan operations focuses on specific products, advertising in the U.S. concentrates on the Aflac brand to reinforce name recognition among consumers and loyalty among agents, most recently focusing on social media. Marketing in the U.S. emphasizes voluntary guaranteed-renewable accident and health coverages as part of employer "cafeteria plans," where individuals purchase specific products on a tax-advantaged basis. The company has established a strong position with small employer groups, which has undergone stress throughout the COVID-19 pandemic. This market is typically a source of contributed growth in premiums in Aflac's U.S. based operations. Distribution is through a network of state, regional, and district sales coordinators overseeing independent agents and smaller insurance brokers. Aflac's brand name recognition, well-established distribution relationships and focused marketing approach have contributed to its success. Aflac's management continues to focus on improving customer awareness of its products and the benefits they provide to further expand domestic sales.

Aflac is also looking to penetrate further within the larger national brokers throughout the United States. The organization is headquartered in Columbus, Georgia, provides policyholder services, such as underwriting, policy issuance, premium collection, payment notification and claims processing. Aflac U.S. operations are licensed in 50 states, the District of Columbia, Japan, Puerto Rico, Guam, and the U.S. Virgin Islands. Management has implemented numerous changes to further improve future new business sales. In addition, Aflac continues to focus on providing effective training platforms to recruit and retain producing sales associates. Aflac's innovation initiatives and venture capital funding have aided in the production of insurtech solutions supporting sales and customer experience solutions. To further expand upon domestic sales, CAIC provides customized voluntary group insurance products that are distributed by insurance brokers at the worksite. It provides Aflac access to this market segment where it currently offers an array of group supplemental coverages consisting of hospital indemnity, critical illness, accident only, disability income, and cancer products. Additionally, the company also markets traditional whole and term life products and a universal life portfolio. All supplemental products are marketed on a group basis. The company has the ability to custom design a program to meet the needs of its clients on a payroll deduction basis. While CAIC is licensed in 47 states and in the District of Columbia, the majority of direct written business is currently concentrated within the Southern United States. However, since marketing itself as Aflac Group, the company has been successful in diversifying geographically.

The organization believes innovation is critical to success and has garnered strong board and management support through its Aflac Global Ventures endeavors. The organization's overall innovation strategy is a key component of its overall strategic objectives. The initiatives undertaken are linked to the company's, mission, vision and values. Moreover, they are focused on addressing customer needs, whether that customer is internal or external. The process for sourcing innovative ideas is well defined, clearly communicated and understood throughout the organization. The challenges presented to Aflac during the COVID-19 pandemic such as limited face-to-face selling, have accelerated the development of innovative selling tools that were already under development prior to the pandemic. Aflac US has introduced new improved products including My Special Aflac Duck and group end-to-end systems. Aflac Japan recently introduced a 3rd sector medical product, EVER Prime, a nursing care and a work leave product expected to have measurable impact on its supplemental medical insurance-centered business in addition to its cancer business over time.

Enterprise Risk Management

Aflac's formal Enterprise Risk Management (ERM) is a mature program which is fully embedded in the operations of the organization. Management has cultivated a strong risk culture and governance, through its ongoing risk management discipline and risk identification, quarterly cash flow testing and stress tests, which are performed as risks emerge or periodically through mitigation

Enterprise Risk Management (Continued...)

strategies. Risks management progress is done through regular reporting with the group's senior management and risk committees within the board of directors.

Aflac's ERM program continues to synergize both U.S. and Japanese programs with the Global Risk Committee, the Global Chief Risk Officer, an independent ERM department and risk subcommittees in the U.S. and Japan. Aflac Incorporated has an Investment Risk Committee that works directly with the Global Risk Committee and Internal Audit Team. Additionally, the organization created one global risk management (GRM) program platform focusing in on developing balance sheet and risk models on an economic value basis.

The work to develop an integrated risk management framework enabling management's decision making process to fully incorporate potential risks is on-going, and through the program's evolution, has satisfied its Own Risk and Solvency Assessment (ORSA) requirements as well. ORSA reports were completed for Aflac Japan and Aflac's U.S. operations. AM Best notes that Aflac has a developed roadmap of key decisions, activities, and enhancements that allows the company to deliver an effective ORSA Summary Report.

The group's GRM framework serves as the basis for effective risk management process handling any potential threats to the overall organization. The ERM framework at its most basic element employs a "three lines" of defense model that begins with the first line or business unit roles, then the second layer of governance, risk and control units who aid the business units by providing the necessary risk management tools and the third layer of internal audit to provide the element of independent monitoring. The tools of managing top risks include risk specific dashboards incorporated into heat maps identifying the impact and likelihood of each risk.

An Emerging Risk Program was established to ensure appropriate identification and monitoring of emerging risks. The Global Risk Appetite Statement addresses the corporate commitments to provide stable operating earnings, provide an adequate return on capital and protect the Aflac brand. The global risk tolerance categories include strategic, investment, liquidity, insurance underwriting, operational and reputational risks. Within each of these there are numerous subsets of risk categories to further refine those risks for identification, monitoring and mitigation. Risks are assessed using various impact scenarios that begins with a financial impact and runs them through levels from an extreme circumstance down through a minor event. Risks are then assigned a risk rating and are viewed through the risk monitoring heat map and its impact as a low risk to critical risk. The "Global Risk Register" captures all the categorized risks. Emerging risks are identified and registered via an internal survey. Aflac uses this survey data to assign the risk and then take steps to monitor and mitigate this risk and to determine the impacts on its business operations and financial position. The owners of the risk will then determine the appropriate risk response to the emergence potential.

Aflac is continually refining its risk management capabilities and has made significant progress in achieving its risk mitigation plan through its proactive approach to assessing potential risks. They have adopted National Institute of Standards and Technology framework for Aflac's global security program. The organization's investments in its cyber program as it transforms to digitization are on-going and are targeted to the areas of elevated risks. There are current high threat levels of Nation State backed hacking, targeted phishing and ransomware threats. These and other vulnerable areas are closely monitored because of the elevated risk of cyber-attack. Both Japan and U.S. entities maintain cyber liability coverage. Business continuity and disaster recovery are strong components of Aflac's broad risk management planning, which includes an effective third party vendor service plan critical to ensuring Aflac's ability to recover its operational functions in a timely manner with service level standards maintained.

Reinsurance Summary

Aflac reinsurance program is considered appropriate relative to its risk appetite, underwriting risks, and large scale disasters. For Aflac Japan, its use of reinsurance has been to control risk related to insurance underwriting, to reduce the cost burden for new policy issuance, and to improve capital efficiency with the aim of ensuring long-term stability of operating earnings. Additionally, Aflac has a committed reinsurance facility in the amount of approximately ¥120 billion of reserves that could be deployed to support SMR. For both its Japan and U.S. reinsured businesses, the organization utilizes high quality and financially strong reinsurance partners.

Effective April 1, 2024, Continental American Insurance Company entered into a 100% quota share coinsurance agreement with American Family Life Assurance Company of Columbus to cede all its retained policy risk on the existing

and future Life and Accident and Health (A&H) business.

Enterprise Risk Management (Continued...)**Environmental, Social & Governance**

Aflac Inc. is a large, international writer of life and health business predominantly in the Japan market; however Aflac is a leader in offering worksite voluntary insurance products in the U.S. Market. Its business products and operations are not exposed to impacts of changing climate trends; however at the local level in both the Japan and U.S. Markets climate change may affect policyholders. The company does employ a very extensive and embedded risk management program to shield its balance sheet and operations from a wide range risks, which includes Environment, Social and Governance (ESG) issues and awareness. Aflac has positioned itself as an advocate for ESG in the market and in the communities they serve, and issued its first sustainability bond. They have placed social and governance directly in the company's long term strategic plans.

Aflac has essentially formalized its ESG framework into the organization in terms that keeps it in-line with its corporate culture and in response to the external movements by governments and corporations also adhering to ESG philosophies. Aflac issued its first "green bond" or internally referenced as a sustainability bond of \$400 million in 2021, with the intent to use at least the equivalent of the net proceeds from this issue exclusively for existing, future or financing of assets that meet its sustainability bond criteria outlined in its ESG framework. These are assets, businesses or projects that meet their board-approved criteria within that framework. These may include investments in renewable energy and efficiency projects, green buildings, clean transportation and sustainable water management investments. The social aspect may include investments in programs promoting economic mobility and access opportunity to foster productive employment. Aflac's internal mechanism to manage this effort will be conducted by its Sustainability Bond Council, which is composed of members of its asset management subsidiary, Treasury team and other senior management. The company has the discretion to use any unallocated portion of the net proceeds in cash and cash equivalents or other liquid marketable instruments.

Financial Statements

	12/31/2024		12/31/2023
	USD (000)	%	USD (000)
Balance Sheet			
Cash and Short Term Investments	7,828,000	6.7	5,610,000
Bonds	81,235,000	69.1	91,109,000
Equity Securities	796,000	0.7	1,088,000
Other Invested Assets	15,228,000	13.0	15,753,000
Total Cash and Invested Assets	105,087,000	89.4	113,560,000
Reinsurers' Share of Reserves	163,000	0.1	183,000
Debtors / Amounts Receivable	779,000	0.7	848,000
Other Assets	11,537,000	9.8	12,133,000
Total Assets	117,566,000	100.0	126,724,000
Gross Technical Reserves:			
Unearned Premiums	1,286,000	1.1	1,451,000
Non-Life Reserves	381,000	0.3	261,000
Life Reserves	70,381,000	59.9	83,718,000
Total Gross Technical Reserves	72,048,000	61.3	85,430,000
Debt / Borrowings	7,498,000	6.4	7,364,000
Other Liabilities	11,922,000	10.1	11,945,000
Total Liabilities	91,468,000	77.8	104,739,000
Capital Stock	136,000	0.1	136,000
Paid-in Capital	2,894,000	2.5	2,771,000
Retained Earnings	52,277,000	44.5	47,993,000
Treasury Stock	-26,231,000	-22.3	-23,395,000
Other Capital and Surplus	-2,978,000	-2.5	-5,520,000
Total Capital and Surplus	26,098,000	22.2	21,985,000
Total Liabilities, Mezzanine Items and Surplus	117,566,000	100.0	126,724,000

Source: BestLink® - Best's Financial Suite

AMB #: 058003 - Aflac Incorporated

	Non-Life	Life	Other	12/31/2024 Total	12/31/2023 Total
Income Statement	USD (000)	USD (000)	USD (000)	USD (000)	USD (000)
Net Premiums Earned	...	13,440,000	...	13,440,000	14,123,000
Net Investment Income	...	4,116,000	...	4,116,000	3,811,000
Net realized gains/(losses)	...	1,153,000	...	1,153,000	527,000
Net unrealized gains/(losses)	...	118,000	...	118,000	63,000
Other income	...	...	100,000	100,000	177,000
Total Revenue	...	18,827,000	100,000	18,927,000	18,701,000
Losses and Benefits	...	7,450,000	...	7,450,000	8,211,000
Net Operating Expense	...	4,863,000	...	4,863,000	5,033,000
Total Losses, Benefits, and Expenses	...	12,313,000	...	12,313,000	13,244,000
Earnings before interest & taxes (EBIT)	...	6,514,000	100,000	6,614,000	5,457,000
Interest Expense	...	...	...	197,000	195,000
Income Taxes Incurred	...	...	...	974,000	603,000
Net income before Non-Controlling interests	...	...	...	5,443,000	4,659,000
Net income/(loss) from continuing operations	...	...	...	5,443,000	4,659,000
Net Income	...	...	...	5,443,000	4,659,000

Source: BestLink® - Best's Financial Suite

	12/31/2024 USD (000)	12/31/2023 USD (000)
Statement of Cash Flows		
Net cash provided/(used) in Operating Activities	2,707,000	3,190,000
Net cash provided/(used) in Investing Activities	2,781,000	817,000
Net cash provided/(used) in Financing Activities	-3,486,000	-3,723,000
Effect of Exchange Rates/Discontinued Operations on Cash	-79,000	79,000
Total increase (decrease) in cash	1,923,000	363,000
Cash, beginning balance	4,306,000	3,943,000
Cash, ending balance	6,229,000	4,306,000

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding Global BCAR, 09/18/2025](#)

Additional Rating Types

AM Best assigns Best's Issue Credit Ratings. Refer to the profile page to view current Issue Ratings for [Aflac Incorporated \(AMB#058003\)](#)



A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

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